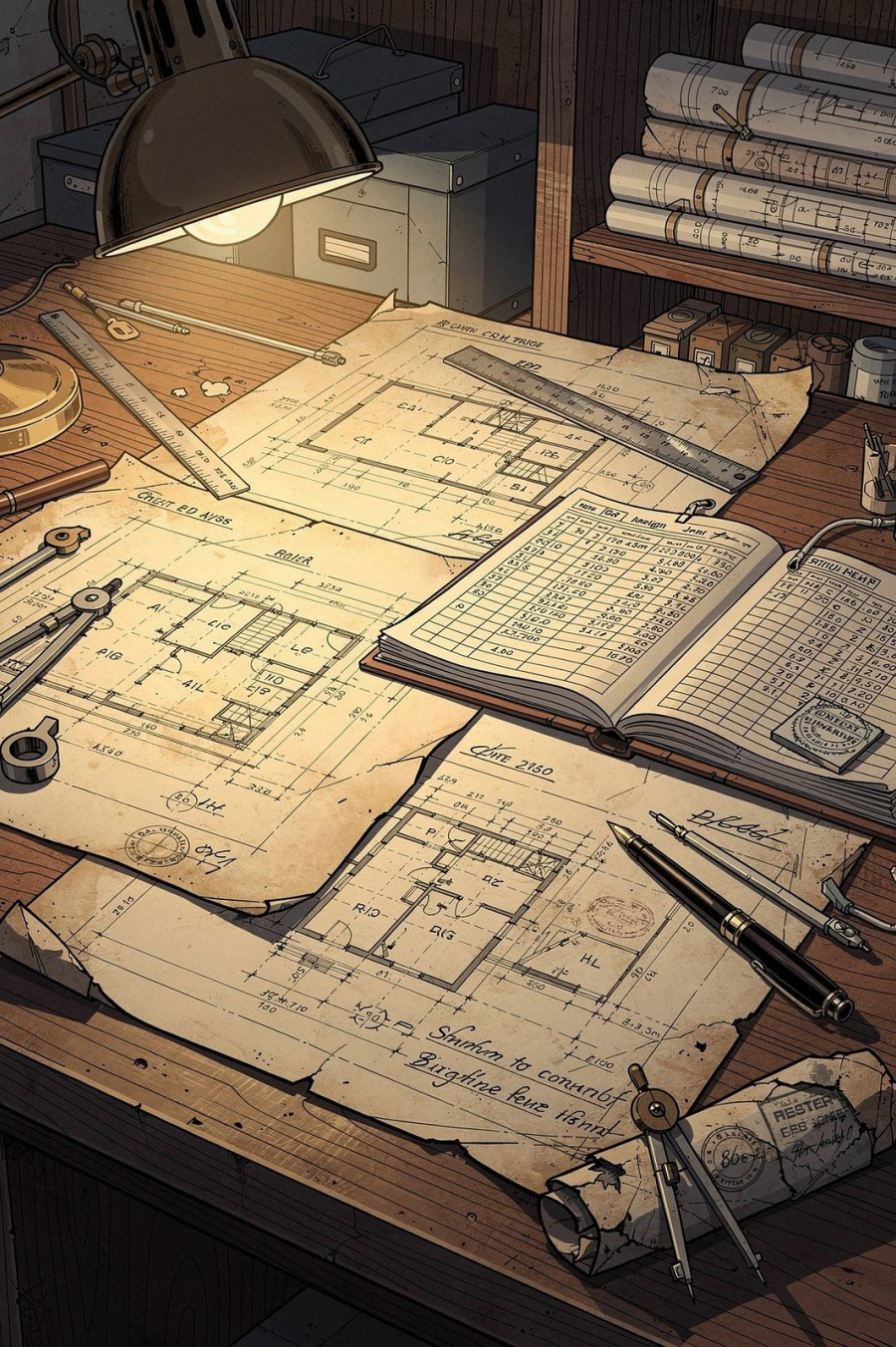


# FeasiBuild

## 30 Years of Real Estate Finance: Lessons from Dubai, Kuwait & Malaysia

What I learned structuring billions in deals across the Middle East and Southeast Asia – and what every serious developer and investor needs to hear.





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# Three Decades. Three Markets. One Truth.

From Kuwait's pre-boom land plays to Dubai's vertical ambitions and Malaysia's mixed-use renaissance, I've sat across the table on deals ranging from modest residential schemes to multi-billion-dollar master-planned communities. The markets changed. The currencies changed. The partners changed. But five hard-won lessons have held constant across every cycle, every correction, and every comeback. What follows is not theory – it's scar tissue.

# The Five Lessons That Define the Deals That Survive

01

## Location Isn't Everything

A great location with wrong pricing will still fail. Market research is non-negotiable.

02

## Cash Flow Is King

IRR looks good on paper, but projects die from cash flow problems, not profitability issues.

03

## Stress-Test Everything

If your deal only works in the best-case scenario, it's not a deal.

04

## Know Your Exit

Always define your exit before you enter. Feasibility studies must answer: "How do we get out?"

05

## Technology Changes Everything

The tools of 1997 are obsolete. Adapt – or be left behind.

# Location Isn't Everything

The most seductive lie in real estate is that a prime address will save a bad deal. I've watched trophy-location projects in Dubai's most sought-after corridors collapse under mispriced launches – and I've watched modest peripheral sites deliver outsized returns because the numbers were disciplined from day one.

Location is a starting point, not a finishing line. Rigorous market research – absorption rates, competitive supply pipeline, buyer profile depth, and willingness-to-pay analysis – is what transforms a promising site into a viable investment. Without it, you're not investing. You're speculating with someone else's capital.



# Cash Flow Is King

I have reviewed hundreds of financial models where the IRR looked exceptional. Some of those projects no longer exist. The reason is almost never that the asset wasn't profitable over its lifetime – it's that the project ran out of cash six months into construction before revenue materialized.

IRR is a rearview mirror metric. Cash flow is the engine. Model your drawdown schedule against your collection milestones ruthlessly. Build in contingency buffers. Understand your lender's drawdown conditions. A deal that is technically profitable but cash-flow negative at the wrong moment will not survive long enough to prove itself.

## The Cash Flow Hierarchy

1. Construction drawdown schedule
2. Pre-sales collection milestones
3. Contingency buffer (min. 10–15%)
4. Lender drawdown conditions
5. Debt service coverage at each phase

# Stress-Test Everything

Best-case scenarios are not deals – they are wishes dressed in spreadsheets. Every project I've seen survive a market downturn shared one common trait: the team had already war-gamed the bad outcomes before ground was broken.

## What to Stress-Test

- Sales velocity drops 30–50% vs. forecast
- Construction costs escalate 15–20%
- Interest rate environment shifts 200bps
- Currency depreciation impact on USD-denominated debt

## The Standard You Should Hold

- The deal must remain viable in the base case **and** the downside case
- If it only pencils at peak assumptions, restructure or walk away
- Lenders and institutional partners stress-test too – match their rigor before the room



## LESSON 04

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# Know Your Exit Before You Enter

Feasibility studies are too often written to justify a decision that has already been made emotionally. The single most important question a feasibility study must answer – and the one most frequently omitted – is: **How do we get out, and under what conditions?**

Whether your exit is a bulk sale to an institutional buyer, an en-bloc disposal, a REIT listing, or a phased retail selldown, that pathway needs to be validated at the point of entry. Exit liquidity in Dubai, Kuala Lumpur, and Kuwait City is structurally different – regulatory, cultural, and market depth all vary. Model the exit. Price the exit. Stress-test the exit.

# Technology Changes Everything



## 1994 — The Spreadsheet Era

Feasibility models built manually in Lotus 1-2-3 and early Excel. Weeks of work for a single scenario. Errors embedded in every assumption.



## 2010 — The Model Complexity Era

Sophisticated DCF models, Monte Carlo simulations, and specialist software. More powerful – but still slow, siloed, and expensive to commission.



## Today — The Intelligence Era

AI-driven platforms deliver institutional-grade analysis in minutes. Those who adopt early set the new benchmark. Those who don't fall behind it.

# The Five Lessons at a Glance



## Market Research First

Location is table stakes. Pricing discipline and absorption analysis win deals.



## Cash Flow Over IRR

Model drawdowns and collections with the same rigor as your headline return metrics.



## Downside Scenarios

If the deal fails under stress, it was never a deal. Test before you commit capital.



## Exit-First Thinking

Validate liquidity, buyer depth, and exit structure at underwriting – not at disposition.



## Embrace the Tools

Competitive advantage belongs to those who adopt better analytical tools faster.

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# Ready to Modernize Your Feasibility Studies?

**FeasiBuild** delivers institutional-grade real estate feasibility analysis in **30 minutes, not weeks** – built for the standards that developers and investors in the Middle East and Southeast Asia demand.

## Institutional Rigor

Stress-tested models, cash flow waterfall analysis, and exit scenario modeling – built in.

## Speed at Scale

From input to full feasibility report in under 30 minutes. Evaluate more deals, faster.

## Built for This Region

Frameworks calibrated for South East Asia, the Gulf region & Australia market structures and regulatory contexts.

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